Priya Prakash vs Serious Fraud Investigation Office & ... on 24 September, 2025

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ CRL.M.C. 6562/2025 & CRL.M.A. 27648/2025
PRIYA PRAKASH
Through: Mr
Mr
Mr
Mr
Ad

versus
SERIOUS FRAUD INVESTIGATION OFFICE & ORS.
.....Respond
Through: Mr. Amit Tiwari, CGSC alongwit
Mr. Divyanshu Bhardwaj and Mr.
Ayush Tanwar, Advocates for
Respondents.

CORAM:
HON'BLE MR. JUSTICE ARUN MONGA
ORDER

% 24.09.2025

1. Heard on interim stay and perused the file.

2. Reply to the petition has though been filed by dairy no. 6936698/2025, but it appears that same is under objection with the Registry.

3. Regardless, Registry is directed to place the same on record as is.

4. List on 17.11.2025.

5. In the meanwhile, in course of hearing having seen the hard copy of the aforesaid reply/affidavit, it is borne out that the Petitioner herein concededly was neither a promoter nor a shareholder nor director of any of the companies, which are under investigation by the Serious Fraud Investigation Office (SFIO). Though of course, learned senior counsel This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 24/09/2025 at 22:53:32 would candidly state, under instructions from the briefing counsel, that the applicant was a nominee Director in three of the other family Companies. However, none of those three is under investigation by the SFIO.

6. It also transpires that at the time of petitioner being nominated in the Board of Directors of the aforesaid three companies, she was merely a 21 years old young student having just finished her under graduation. It was merely a paper nomination without she being in the helm of affairs in any of those three companies as well.

7. Furthermore, after registration of the case by the SFIO against the companies under investigation, no arrest of any of the family members of the petitioner i.e. either any promoter or Director was ever caused. Two of the employees who were arrested, but are currently enlarged on bail.

8. Moreover, the petitioner is stated to be a student in Dubai and currently doing a course in Higher Business Management. She last resided in India in the year 2022 and remained a full time student during her India stay until 01.08.2022. The SFIO complaint was registered on 30.11.2022 after she had left the country. Further proceedings arising out of the said complaint have been stayed by this court in collateral writ proceedings which are sub judice. Yet, an LOC has been issued/opened against her at the instance of the SFIO due to which petitioner has been unable to travel to India for the past three years. She is desirous of getting married during the lifetime of her old and ailing grandparents, who are having age related health issues. They are residing in India. Besides she has not met her family/parents due to her forced stay abroad.

9. In this backdrop, reference may also be had to the guidelines laid down in a Judgment titled Abhayjeet Singh & Ors. versus State of This is a digitally signed order.

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> "(a) The issuance or continuation of an LOC effectively suspends or invalidates the individual's passport or travel document, restricting foreign travel. This action should not be taken lightly in a casual manner, as the Supreme Court has recognized the right to travel abroad as a fundamental right under Article 21 of the Constitution (Maneka Gandhi v. Union of India) 10.
>
> (b) Order for issuance of LOC can only be passed by originating agency (O.A.) in cognizable offences under IPC or other penal laws, where the accused and/or under trial, as the case may be, is deliberately evading arrest or not appearing in the trial court despite NBWs and other coercive measures and there is likelihood of the accused leaving the country to evade trial / arrest. It is thus a situation akin to issuance of NBWs in exercise of Magisterial powers, but for the difference that Home Ministry has empowered BOI to only detain / restrain a person from travelling abroad and not arrest, if he is either evading arrest or deliberately not appearing in the trial court.

(c) In cases other than falling in (b) above, while taking a decision to instruct the BOI to open / issue an LOC for preventing the subject to travel abroad, the O.A. must record reasons and grounds for his satisfaction for believing that the passport is likely to be impounded or revoked under Section 10(3) (c) by the passport authority either in the interest of sovereignty or integrity, security of India or in the interest of friendly relation of India with a foreign country or general public interest.

(d) In cases where the person in question has been granted bail, the order for issuance of LOC must not conflict with or override the terms and conditions of the bail or over reach an order passed by the court.

(e) Once an investigation is completed and a report under Section 193(3) of the Bharatiya Nagrik Suraksha Sanhita, 2023 (corresponding to Section 173(2) of the CrPC), is submitted, any LOC issued or continued must be reported by O.A. in writing to the concerned court to ensure propriety and to prevent misuse of the power to issue order for opening an LOC or continuance thereof, as the case may be.

(f) The order passed by the O.A. for issuance of LOC must specifically state that initial validity of an LOC shall not exceed four weeks.

Extensions are permissible only if the O.A. deems it appropriate and provides reasons in writing.

(g) The affected individual i.e. as per Section 10-A of the Act, passport holder must be given an opportunity to be heard within eight [2024:RJ-JD:36403] This is a digitally signed order.

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(h) If no cognizable offense is involved, the holder of passport, i.e., subject of LOC, cannot be detained or prevented from leaving the country. In such cases, the O.A. can only request for being notified of the subject's arrival / departure.

(i) Originating agency must review LOCs quarterly i.e. every 3 months by giving reasons in writing. After the review, if the LOC is no longer needed Proposals for deletion must be submitted immediately. LOC deletion requests must be conveyed promptly to BOI to avoid adversely affecting individual liberties unnecessarily.

(j) Originating agency must send a deletion request of LOC to BOI as soon as the purpose of the LOC is fulfilled or the subject is arrested.

(k) Each originating agency, in every district of the state, must appoint a nodal officer for effective communication and updates with BOI, Ministry of Home Affairs, Government of India."

10. Vis-a-Vis the alleged non-compliance of the aforesaid guidelines, a chart has been culled out in an additional affidavit dated 17.09.2025 in para 17 thereof which, for ease of reference, is reproduced below:

GUIDELINES FRAMED BY THE HON'BLE HIGH COURT OF RAJASTHAN IN S.B. CRIMINAL MISC (PET.) NO. 4572/2023	HOW THE IMPUGNED LOC IS V F C T p s h i n T i o r r (
(a) The issuance or continuation of an LOC effectively suspends or invalidates the individual's passport or travel document, restricting foreign travel. This action should not be taken lightly in a casual manner, as the Supreme Court has recognized the right to travel abroad as a fundamental right under Article 21 of the Constitution (Maneka Gandhi v. Union of India (1978) SCC 248).	

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b) Order for issuance of LOC can only LOC is issued to secure the presence of be passed by originating agency (O.A.) the accused for investigation or for in cognizable offences under IPC or preventing him/her from evading trial. other penal laws, where the accused In this context it is submitted that:-

> and/or under trial, as the case may be, is deliberately evading arrest or not (c) So far as investigation is concerned, appearing in the trial court despite the admitted fact is that the NBWs and other coercive measures and investigation qua the petitioner is there is likelihood of the accused complete as SFIO has already filed its leaving the country to evade trial / Investigation report and the prosecution arrest. It is thus a situation akin to complaint in the year 2022 i.e. on issuance of NBWs in exercise of 30.11.2022 and 12.12.2022, Magisterial powers, but for the respectively. Thus, presence of difference that Home Ministry has petitioner is not required for the empowered BOI to only detain / purpose of investigation. restrain a person from travelling (d) So far as the petitioner's presence in abroad and not arrest, if he is

either trial is concerned, it is submitted that evading arrest or deliberately not this Hon'ble court in W.P.(CRL) appearing in the trial court. 1242/2022 titled as Vinod Kumar Dandona & Ors. Vs Union of India & Anr. Has already passed interim orders, whereby, this Hon'ble court has virtually stayed the trial of instant case i.e. C.C. No. 990/2022 pending before the Ld. ASJ-03-cum-Special Judge (Companies Act), Dwarka District Courts, New Delhi. Thus, for the present the petitioners presence is not required for participation in trial also.

It is stated as and when the trial would progress the petitioners right to travel abroad would be governed by the orders passed by the Ld. Trial Court. A fortiori, the very purpose for which the LOC was issued by SFIO has worked out itself and has become otiose.

d) In cases where the person in question The petitioner was never arrested by the has been granted bail, the order for SFIO. Now the investigations against issuance of LOC must not conflict with the petitioner are also over and hence or override the terms and conditions of as per the law laid down by the Hon'ble the bail or over reach an order passed Supreme Court in Satender Kumar Antil This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 24/09/2025 at 22:53:32 by the court. v. CBI, (2021) 10 SCC 773, she cannot be arrested now after 3 years of forwarding the prosecution compliant to the Ld. Trial Court.

Thus, once her arrest is not contemplated, continuation of LOC [i.e. restriction of her free movement] is an attempt to achieve indirectly what has been frowned upon by the Hon'ble Supreme Court in the aforesaid judgment.

e) Once an investigation is completed Prosecution complaint which is akin to and a report under Section 193(3) of the chargesheet/final report filed under the Bharatiya Nagrik Suraksha Sanhita, BNNS/CrPC has already been filed in 2023 (corresponding to Section 173(2) 2022. However, the matter has not been of the CrPC), is submitted, any LOC reported to the concerned Trial Court issued or continued must be reported by for continuation of LOC. No application O.A. in writing to the concerned court for seeking appropriate orders has been to ensure propriety and to prevent made till date. misuse of the power to issue order for opening an LOC or continuance thereof, as the case may be.

(g) The affected individual i.e. as per The aforesaid procedure was not Section 10-A of the Act, passport holder complied with in the present case. must be given an opportunity to be Despite a detailed representation dated heard within eight weeks of the LOC 26.05.2025 made by the Petitioner, the issuance or continuation at the instance petitioner was not even afforded an of O.A. To facilitate this, the O.A. must opportunity of hearing (for continuance refer the matter to the Central of the LOC) as mandated by second Government in a timely manner, Proviso to section 10-A of the Passports allowing the Government to provide a Act, 1967. Further, no opportunity of hearing

and, if necessary, modify or hearing whatsoever was ever granted to revoke the LOC order by taking such the petitioner within 8 weeks from the decision in writing. date of issuance of LOC;

(i) Originating agency must review Not complied with. The LOC is being LOCs quarterly i.e. every 3 months by continued on ipse dixit of the officers of giving reasons in writing. After the the originating agency; review, if the LOC is no longer needed Proposals for deletion must be submitted immediately. LOC deletion requests must be conveyed promptly to This is a digitally signed order.

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j) Originating agency must send a With completion of investigation deletion request of LOC to BOI as soon (without arrest) and with filing of as the purpose of the LOC is fulfilled or prosecution complaint the need and the subject is arrested. purpose of LOC was fulfilled as such continuation of LOC against the petitioner at the present stage is illegal and per-se arbitrary;

11. The Petitioner is an academician with distinction and significant achievements in social work. She has no criminal history and is presently pursuing higher studies at the Woolwich Institute in the UAE. It appears that she has neither any role, control, nor connection with the business affairs of the Companies under investigation, which form the subject matter of the impugned complaint and sanction order. Possibility of her being wrongfully arraigned as an accused merely on the basis being a family member, cannot be ruled out.

12. Even otherwise, prima facie, from a plain reading of SFIO's own complaint and record, it is debatable if any offence is made out against the Petitioner u/s 447 of the Companies Act, 2013. Be that as it may, same is matter for consideration at the final arguments.

13. Taking a wholesome view of the matter and particularly the fact that her arrest is not warranted, I do not see any hindrance in her coming to India and going back to Dubai for which she is stated to have already made travel arrangements.

14. In totality of circumstance, till further orders the LOC issued against the petitioner shall remain suspended during pendency of the present proceedings and petitioner is at liberty to travel back and forth to India till This is a digitally signed order.

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15. Registry is directed to send the copy of this order to Bureau of Immigration (BOI) and dasti to the counsel for the Petitioner.

ARUN MONGA, J SEPTEMBER 24, 2025/nk/rs This is a digitally signed order.

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